

Spanish Grocery Market

Competitive Pricing Analysis

Mercadona · Consum · Carrefour · Dia · Alcampo | 5 categories · 31 products · 299 observations · 2 collection dates

OVERALL PRICE LEADER	BASKET GAP	BRANDED PREMIUM	PRICE STABILITY
Mercadona index 96.4 vs market avg 100	7.1% cheapest to most expensive chain	~18% over private label (breakfast)	88% of prices unchanged over 2 weeks

KEY FINDINGS

01 No single chain dominates. Pricing leadership is category-specific.

Mercadona holds the lowest overall price index (96.4 vs. a market average of 100), with Consum close behind at 97.7. Carrefour sits at 105.0. However, Carrefour leads on breakfast and Alcampo on fresh produce. Chain-level rankings mask meaningful variation across categories.

■ Overall price rankings are a poor guide to category-level value. Shoppers optimising for cost would shop differently by product type, not by a single chain preference.

02 Cleaning is the most strategically contested category.

Price dispersion across chains is highest in cleaning (standard deviation of 25.4 index points), compared to just 5.5 in breakfast. Mercadona leads with the lowest cleaning index and the cheapest private-label laundry liquid at €0.068 per wash — 39% cheaper than Carrefour (€0.094 per wash) for a functionally equivalent product.

■ Cleaning is likely a loss-leader anchor category. Chains that lead here may be using it to drive footfall and overall value perception, subsidised by higher margins elsewhere.

03 The private-label advantage is real but concentrated, not uniform.

Branded products command an 18% premium over private-label alternatives in breakfast and 8% in snacks. In cleaning, the contrast is most visible at the product level: branded Fairy dishwasher tablets cost approximately 70% more per wash cycle than Mercadona's private-label equivalent. However, in some fresh produce subcategories, branded items are cheaper — a reminder that the premium varies by product logic, not just by category.

■ Private-label strategy differs significantly across chains. Mercadona's Hacendado and Bosque Verde brands are anchored at the quality-value intersection; Carrefour's own-brand positioning is less consistent, leaving gaps that national brands fill.

04 The basket gap between chains is smaller than commonly perceived.

A standardised 25-product private-label basket costs €29.66 at Consum (cheapest) and €31.78 at Alcampo (most expensive) — a €2.12 difference, or 7.1%. At weekly shopping frequency, this represents approximately €110 per year. The gap narrows further when accounting for the fact that cheaper chains often stock fewer branded alternatives, reducing direct comparability.

■ *The financial argument for loyalty to a single 'cheapest' chain is weaker than marketing narratives suggest. Consumer behaviour is more likely driven by assortment, convenience, and brand trust than by price alone.*

05 Short-term price movements are concentrated in branded products.

88% of comparable product-chain pairs showed less than 1% price change over the two-week observation window. The largest movements were in branded items: Consum reduced Dolce Gusto coffee capsules by 20.2% and Fairy dishwasher tablets by 20.0% between snapshots. Mercadona raised Kellogg's Corn Flakes by 20.0% over the same period.

■ *These movements are consistent with promotional repricing in branded products rather than structural price strategy changes. The simultaneous Consum branded reductions suggest a coordinated campaign — possibly a response to private-label competition — rather than independent SKU-level decisions.*

06 Assortment gaps reflect deliberate strategy, not just logistics.

Not all chains carry equivalent products across all categories. Some gaps — such as Carrefour's absence of free-range M-size eggs or Alcampo's limited fresh juice range in certain formats — are likely deliberate assortment decisions tied to margin, format strategy, or target customer segment rather than supply constraints.

■ *Assortment design is part of the pricing strategy. A chain that does not stock the national-brand benchmark cannot be directly undercut on it — a subtle competitive advantage that pure price analysis overlooks.*

CONTEXT & LIMITATIONS

This analysis covers five major chains in the Valencia region of Spain across a two-week window in April–May 2026. Prices were collected from official chain websites on the same day for each snapshot to ensure temporal consistency. Products were selected using functional equivalence rather than exact brand matching; items with structural comparability issues (e.g. non-standard package formats or unavailable subcategory equivalents) were excluded from indexed comparisons. The findings reflect a specific market segment and time period and should not be extrapolated to national pricing or other geographies without additional data collection.
